

Done!

Cambridge
International
AS & A Level

Cambridge International Examinations
Cambridge International Advanced Subsidiary and Advanced Level

ECONOMICS

Paper 1 Multiple Choice

9708/12

October/November 2018

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarakh Mushtaq
Solved with reasons!

[Handwritten signature]

This document consists of **12** printed pages.

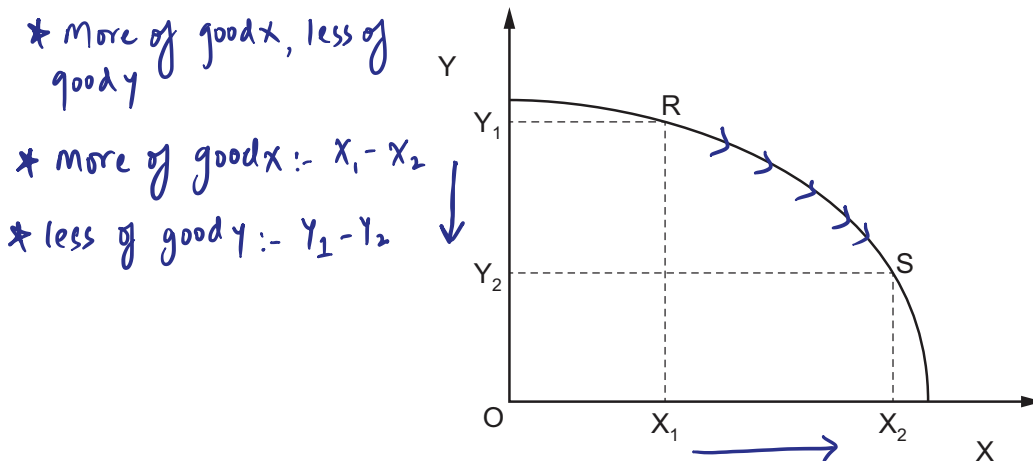
In the social sciences and philosophy, a positive or descriptive statement concerns what "is", "was", or "will be", and contains no indication of approval or disapproval. Positive statements are thus the opposite of normative statements. Positive statement is based on empirical evidence.

Normative economics is a part of economics that expresses value or normative judgments about economic fairness or what the outcome of the economy or goals of public policy ought to be. Economists commonly prefer to distinguish normative economics from positive economics. Wikipedia

1 Which statement by a company is normative?

- A In the past three years we have carried out the biggest merger acquisition in the group's history. *Yes/No*
- ☒ B The business has fallen behind competitors and needs to improve its ethical standards. *opinion*
- C The growth of the business has been in retail and financial services. *Yes/No*
- D The structure of the business has been simplified. *Yes/No*

2 The diagram shows an economy's production possibility curve for goods X and Y.



What is the opportunity cost of moving from point R to point S on the production possibility curve?

- A OX_1 B OY_2 C X_1X_2 ☒ D Y_1Y_2

3 From 1995 to 2000 each of the countries listed below moved towards a market economy through privatisation programmes.

Which country made the slowest rate of transition?

$$\frac{\text{New} - \text{old}}{\text{old}} \times 100$$

	private sector share of GDP (ratio of private enterprise earnings to GDP)		
		1995	2000
☒ A	Czechia	70	80
B	Hungary	60	70
C	Romania	45	60
D	Slovakia	60	80

14.2% e.g. $\frac{80-70}{70} \times 100$
 16.7%
 33.3%
 33.3%

3

- 4 A businesswoman sets up a charity to provide toys for young children of low income families. *Private goods*

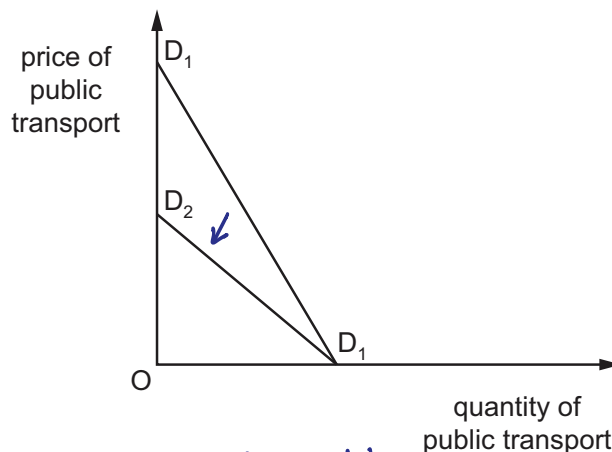
Which term most accurately describes these toys?

- A free goods *Item of consumption (such as air) that is useful to people, is naturally in abundant supply, and needs no conscious effort to obtain it. In contrast, an economic good is scarce in relation to its demand and human effort is required to obtain it.*
- B merit goods *(Education and health care) (creates external benefit)*
- ☒ C private goods *(Price mechanism)*
- D public goods *(Free rider problem)*

- 5 What will happen to an industry's supply curve if new firms enter the industry? *Supply ↑*

- A It will shift to the left at any given price. *Supply ↓*
- ☒ B It will shift to the right at any given price.
- C There will be a downward movement along the supply curve. *Demand ↓*
- D There will be an upward movement along the supply curve. *Demand ↑*

- 6 D_1D_1 shows an individual's initial demand curve for public transport.



What would cause the demand curve to shift to D_2D_1 ? *Demand ↓*

- A The cost of running the individual's car rises. *⇒ Switch to public Transport (D ↑)*
- B The individual is banned from driving. *⇒ Switch to public Transport (D ↑)*
- C The price of public transport rises. *⇒ movement, also Qty ↓*
- ☒ D The quality of public transport declines. *other factor, shift in demand*

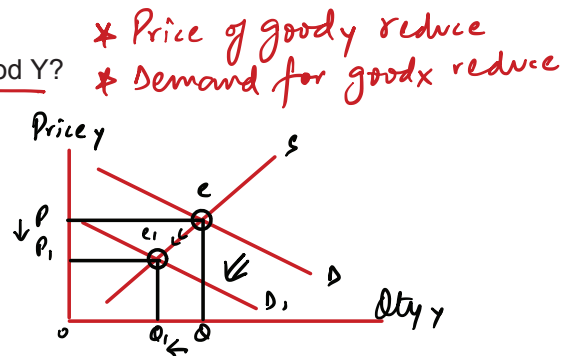
4

$D_X \downarrow$ $P_Y \downarrow$ substitutes

- 7 Two goods X and Y have a positive cross-elasticity of demand and upward-sloping supply curves.

What will be the effect of a reduction in the price of good Y?

- A The demand for good X will increase.
B The demand for good Y will decrease.
☒ C The price of good X will decrease.
D The quantity of good X supplied will increase.



- 8 Which statement best describes the meaning of price elasticity of supply?

$$PES = \frac{\% \Delta \text{in } Q_S}{\% \Delta \text{ in price}}$$

(other way round)

- A how much price changes when there has been a change in supply
B how much supply changes when there is a change in demand
☒ C how much supply changes when there is a change in price (Price affects Qty supplied)
D how much supply changes when there is a change in the price of a substitute

Demand affects price and price affects Qty supplied

- 9 The table shows changes in a consumer's expenditure on various goods when her income increases from \$20 000 to \$24 000.

$$\% \Delta \text{ in } Y \Rightarrow 20\%$$

$$\frac{\text{New} - \text{Old}}{\text{Old}} \times 100$$

good	income \$20 000: amount spent on good (\$)	income \$24 000: amount spent on good (\$)
W	100	96
X	100	100
Y	200	224
<u>Z</u>	200	248

$$\% \Delta \text{ in } Q_Y / \% \Delta \text{ in } Y \Rightarrow YED$$

$$-4\% \quad 20\% \Rightarrow -0.2$$

$$0 \quad 20\% \Rightarrow 0$$

$$12\% \quad 20\% \Rightarrow +0.6$$

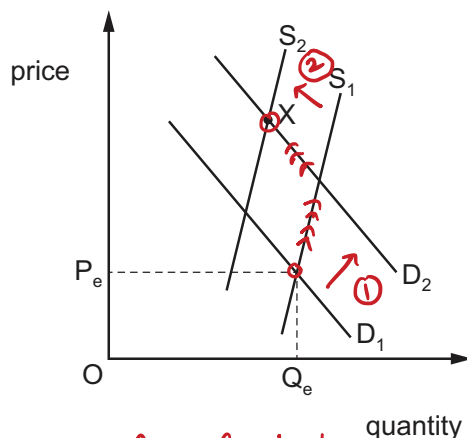
$$24\% \quad 20\% \Rightarrow +1.2$$

Assuming all else remains unchanged, for which goods is the consumer's income elasticity of demand greater than 1.0? + > 1

- A W, Y and Z
B W and Z only
C W only
☒ D Z only

5

- 10 The diagram shows the market for cocoa, which is a normal good. Initially the market is in equilibrium with price P_e and quantity Q_e bought and sold.



Demand ↑ Supply ↓

Which sequence of events (event 1 followed by event 2) must have occurred in order to move to the new equilibrium at point X?

	event 1 (<i>Demand ↑</i>)	event 2 (<i>Supply ↓</i>)
A	a decline in popularity of cocoa <i>D ↓</i>	the removal of a subsidy previously paid to cocoa producers <i>S ↓</i>
B	a decrease in disposable income <i>D ↓</i>	a decrease in costs of producing cocoa <i>S ↑</i>
C	an increase in disposable income <i>D ↑</i>	an increase in the number of cocoa producers <i>S ↑</i>
☒ D	a successful advertising campaign by cocoa producers <i>D ↑</i>	an increase in the taxation of cocoa <i>S ↓</i>

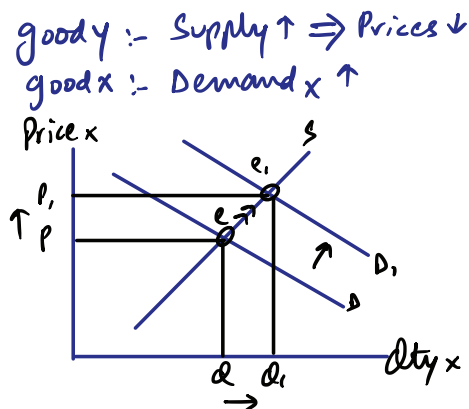
↳ indirect tax

XED = -ve Jointly demanded goods

- 11 Goods X and Y are complements and have upward-sloping supply curves.

What will be the effect on the equilibrium price and quantity of good X of an increase in the supply of good Y?

	quantity of X	price of X
A	decrease	decrease
B	decrease	increase
C	increase	decrease
☒ D	increase	increase

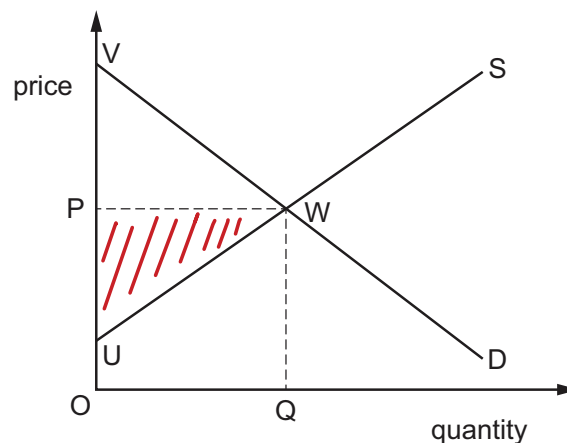


* The rationing function of the price mechanism. Whenever resources are particularly scarce, demand exceeds supply and prices are driven up. The effect of such a price rise is to discourage demand and conserve resources. The greater the scarcity, the higher the price and the more the resource is rationed. **6**

12 What is generally considered to be one of the advantages of using the price mechanism as a rationing device?

- A** It ensures that goods are allocated in accordance with the wants of consumers. *'Allocation on price'*
- B** It ensures that suppliers cannot make excessive profits. *Prices ↑ Qty ↑ Profits ↑*
- ☒ **C** No one can be prevented from consuming a good if they are willing and able to pay the market price. *Those able to purchase at higher price*
- D** The allocation of goods is determined by consumers' wealth. *(No)*

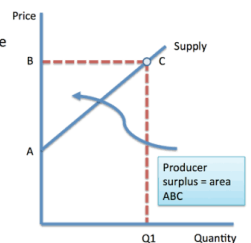
13 The diagram shows a competitive market in equilibrium with price P and quantity Q sold.



What is Producer Surplus?

Producer surplus is a measure of producer welfare

- Producer surplus is the difference between what producers are willing and able to supply a good for and the price they actually receive
- Producer surplus shown by area above the supply curve and below the market price
- Higher prices provide an incentive to supply more to the market (profit motive)



Which area represents the producer surplus?

- ☒ **A** OPWQ minus OUWQ
- B** OPWQ minus UPW
- C** OVWQ minus OPWQ
- D** OVWQ minus PVW

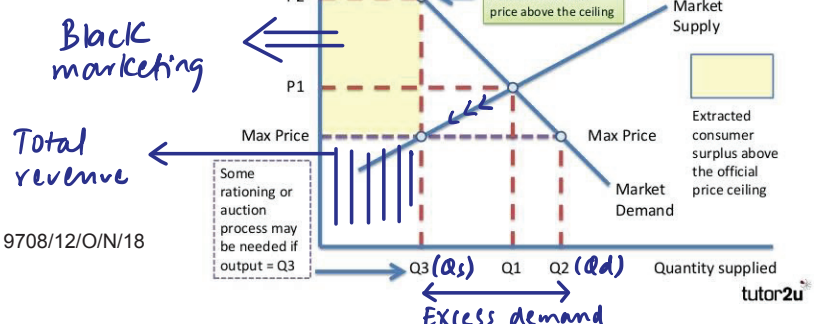
14 The government fixes a maximum price for wheat flour below the market equilibrium price.

After the maximum price is imposed, which statement is not correct?

- ☒ **A** Producers' revenue is increased. *(TR ↓) (Prices ↓ Qty supplied ↓)*
- B** Some consumers may encourage illegal sales. *Black marketing*
- C** The quantity supplied of flour will decrease. *Yes!*
- D** There will be an excess demand for flour. *Yes!*

Maximum Price Analysis – "Black Market" Prices

If quantity is restricted to Q₃, then some consumers will be willing to pay a higher "unofficial price" at P₂. Producers can extract extra consumer surplus at higher price



A progressive tax is a tax in which the average tax rate (taxes paid ÷ personal income) increases as the taxable amount increases. The term "progressive" refers to the way the tax rate progresses from low to high, with the result that a taxpayer's average tax rate is less than the person's marginal tax rate.

Hint :- Progressive (Direct tax)

7

15 The income tax structure of a country has two elements.

- 1 The first \$20 000 of earned income is not taxed.
- 2 Any income earned above \$20 000 is taxed at 20%.

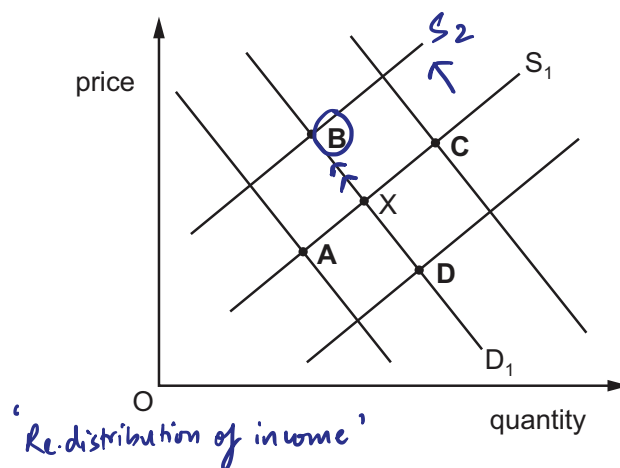
A regressive tax is a tax applied uniformly, taking a larger percentage of income from low-income earners than from high-income earners. It is in opposition to a progressive tax, which takes a larger percentage from high-income earners.

What would be a correct description of this tax structure?

- ☒ A a progressive tax on incomes of more than \$20 000
- ☐ B a progressive tax throughout the whole income range
- ☐ C a proportional tax on incomes of more than \$20 000
- ☐ D a regressive tax throughout the whole income range

16 In 2014 Egypt reduced subsidies on fossil fuels such as gasoline and diesel. The diagram shows the initial equilibrium at point X.

What will be the new equilibrium after the reduction of subsidies?



17 What is an aim of a transfer payment? A payment made or income received in which no goods or services are being paid for, such as a benefit payment or subsidy.

- ☒ A It allows the government to alter the final distribution of income. (e.g. Unemployment benefits)
- ☐ B It provides a ceiling for levels of income across the economy.
- ☐ C It removes the need for state subsidies.
- ☐ D It rewards the activity of a factor of production.

18 There have been recent calls for the UK government to nationalise its railways.

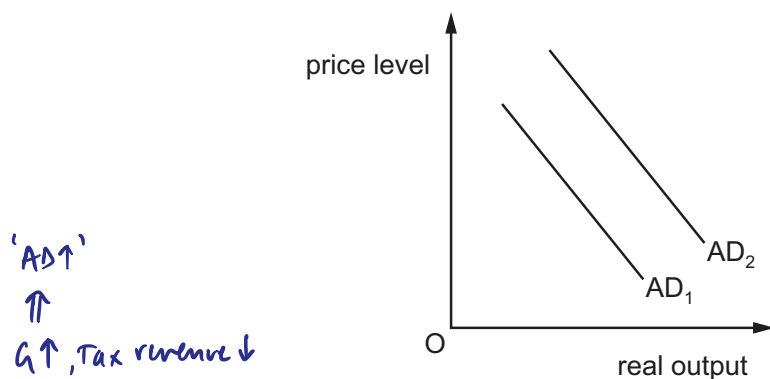
What would not be a reason for nationalising the railways?

- ☐ A Private rail companies often charge high ticket prices. *valid, exploiting consumers*
- ☐ B Private rail companies may exploit monopoly power. *Abnormal profits*
- ☐ C Railways are an essential part of national infrastructure. *Valid*
- ☒ D Railways should be treated as a public good. *(No)*

↳ free rider problem
↳ No price mechanism

8

19 The diagram shows a shift in the aggregate demand curve, from AD_1 to AD_2 .



What might have caused this shift?

- ☒ A a fall in the budget surplus ($Tax\ revenue > Government\ spending$)
- B a fall in the trade surplus $\Rightarrow M(TE)\uparrow, X(TR)\downarrow, AD\downarrow$
- C a rise in imports $M(TE)\uparrow, AD\downarrow$
- D a rise in the interest rate $R\uparrow, C\downarrow, I\downarrow, BOT: deficit, AD\downarrow$

20 The table shows the consumer price index (CPI) and national output at current prices in 2014 and 2015 for an economy.

year	CPI	national output at current prices
2014	100	100
2015	120	110

$\downarrow 10\% \uparrow$
 $110 - 120 \Rightarrow -10$

What can be concluded when 2015 is compared with 2014?

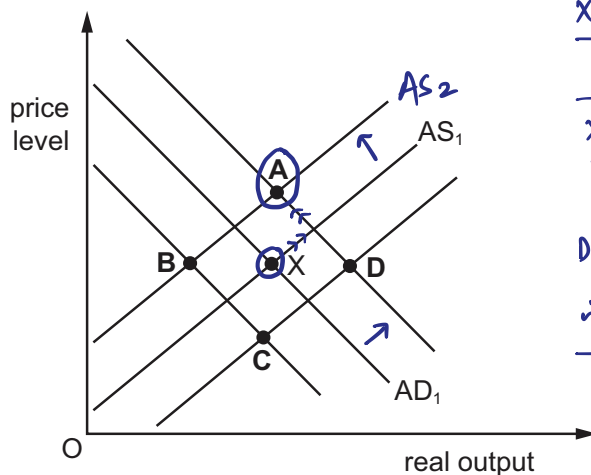
- A Money national output decreased by 10%. α
 - B Money national output increased by 20%. α
 - ☒ C Real national output fell.
 - D Real national output increased. α
- $\hookrightarrow -ve$

current prices - CPI $\Rightarrow$ 'Real'

- 21 Between June and the end of July 2016 the UK pound sterling depreciated by 11% against a basket of currencies of the UK's major trading partners.

The diagram shows the original aggregate demand curve AD_1 and the original aggregate supply curve AS_1 for the UK economy before June 2016. The equilibrium is at X.

What will be the new equilibrium for the UK economy as a result of the depreciation of the pound sterling?



$X \text{ prices } \downarrow$
 $X \text{ Qty } \uparrow$
 $X (TR) \uparrow$
 $AD \uparrow$
Demand pull inflation

$M \text{ prices } \uparrow$
 $M \text{ Qty } \downarrow$
 $M (TE) \uparrow$
 $AS \downarrow$
inelastic demand
cost push inflation

- 22 Which item is not included in the current account of a country's balance of payments?

- A exports of services $\rightarrow$ Trade in goods
 B interest on foreign loans $\rightarrow$ Trade in services
 C profits from foreign investments $\rightarrow$ net incomes
 D the purchase of foreign assets $\rightarrow$ net transfers
 (Investment, financial account)

- 23 A government wishes to raise the value of the external exchange rate of its currency.

What should it do?

- A discourage inward foreign direct investment $FDI \downarrow, D\$ \downarrow, \text{Depreciate}$
 B raise interest rates $R \uparrow, FDI \uparrow, D\$ \uparrow, S\$ \downarrow, \text{Exchange rate } \uparrow$ (Appreciation / Revaluation)
 C raise the level of aggregate demand in the economy $X(TR) \Rightarrow$ Not in control of government
 D remove quotas on imported products $M(TE) \uparrow, S\$ \uparrow, \text{Depreciate}$

- 24 Country X conducts 60% of its trade with country Y and 40% of its trade with country Z. The initial value of the trade-weighted exchange rate index of country X is 100.

What will be its new trade-weighted exchange rate index value if its currency falls in value by 20% against the currency of country Y and rises by 10% against the currency of country Z?

- A 84 B 90 C 92 D 116

$$\begin{array}{l}
 X \quad 60\% \quad 20\% \downarrow \quad 80 \quad 80 \times 60 \\
 Y \quad 40\% \quad 10\% \uparrow \quad 110 \quad 110 \times 40 \\
 \hline
 \quad \quad \quad 100\% \quad \quad \quad 9200
 \end{array}
 \Rightarrow \frac{9200}{100} = 92$$

$$TOT: \frac{X \text{ prices}}{M \text{ prices}} \times 100 = 10$$

$X \text{ prices} \uparrow$
 $\uparrow \rightarrow M \text{ prices} \downarrow$
 TOT improves

- 25 The index for a country's terms of trade changed from 100 in year 2015, to 104 in year 2016.

What could have caused this change?

- A a fall in export prices with import prices unchanged $X \text{ prices} \downarrow, TOT \downarrow$
 B a fall in revenue from the export of services *Depends on PED*
☒ C an appreciation of the country's currency $X \text{ prices} \uparrow, M \text{ prices} \downarrow$
 D a rise in the value of imports *Depends on PED*

- 26 The table shows the production possibilities of cloth and food in four countries using all of their resources.

Exchange rate
 1 Food : 6 cloth

country	cloth (million units)		food (million units)
V	40	or	8
X	28	or	4
Y	8	or	2
Z	5	or	5

1 F : 5 C

1 F : 7 C

1 F : 4 C

1 F : 1 C

If the world exchange rate is 1 unit of food for 6 units of cloth, with whom is V likely to trade?

- A X and Y ☒ B X only C Y and Z D Z only

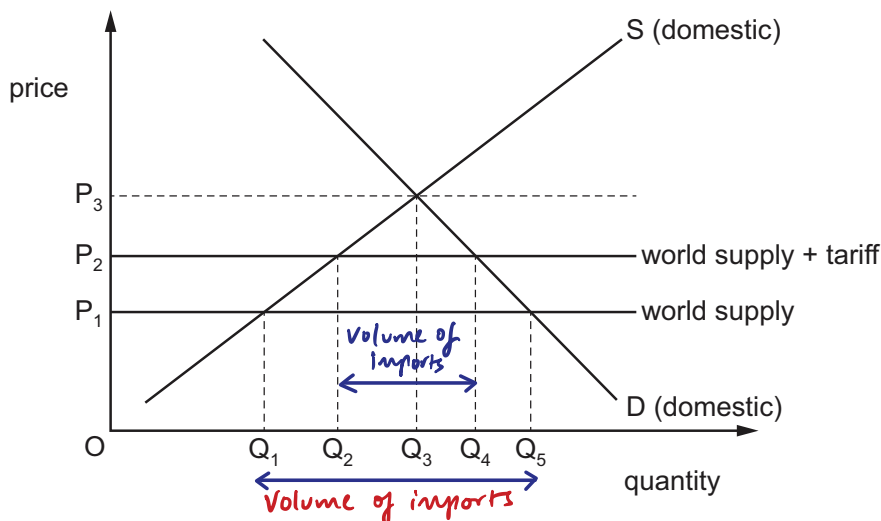
Trade to be successful, exchange rate must be between the opportunity cost ratios of 2 countries.

Country V
 1 F : 5 C

Exchange rate
 1 F : 6 C

Country X
 1 F : 7 C

27 The diagram shows the domestic and world demand and supply for a good.



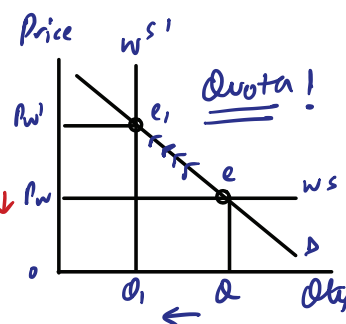
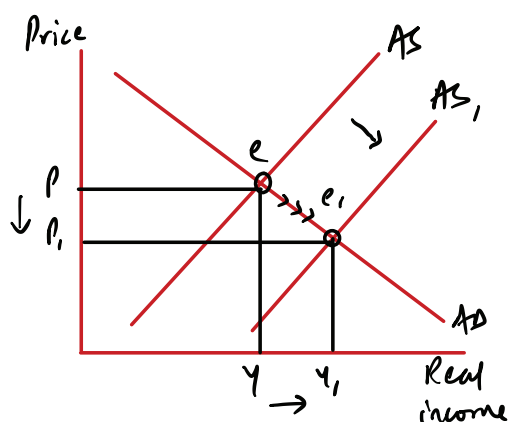
The government imposes a tariff on imports of the good.

What will happen to the quantity imported?

- A It will fall from Q_1Q_3 to Q_2Q_3 .
- ☒ B It will fall from Q_1Q_5 to Q_2Q_4 .
- C It will fall from Q_2Q_5 to Q_3Q_4 .
- D It will fall from OQ_5 to OQ_4 .

28 What is an example of a supply-side policy?

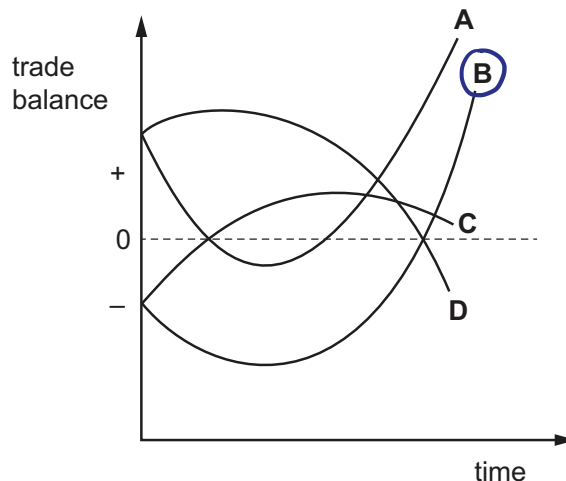
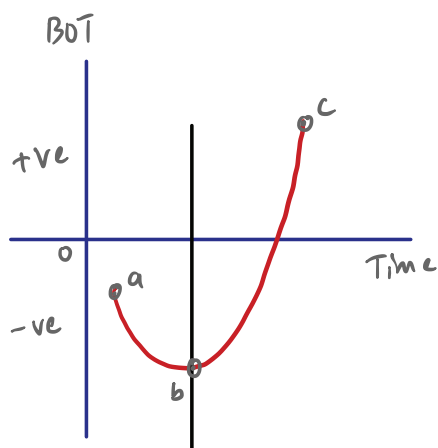
- A an import quota to restrict the supply of goods *Prices ↑*
- B a rise in interest rates to encourage the supply of savings *R ↑, AD ↓*
- C a specific tax on the supply of goods to raise revenue *Supply ↓*
- ☒ D a subsidy to businesses to promote the supply of training courses



- 29 In a country the Marshall-Lerner condition for an improvement in the trade balance is satisfied in the long run, but quantities of imports and exports are slow to respond to price changes.

The government devalues its currency to reduce its trade deficit.

Which curve indicates the probable behaviour of the trade balance?



a-b:- Short run,
Exports and imports
is inelastic
 $X(TE) \downarrow$ $M(TE) \downarrow$
BOT:- deficit

b-c:- long run,
Exports and imports
is elastic
 $X(TE) \uparrow$, $M(TE) \downarrow$
BOT:- surplus

- 30 Which policy mix is most likely to be effective in the short run for reducing inflation in a closed economy?

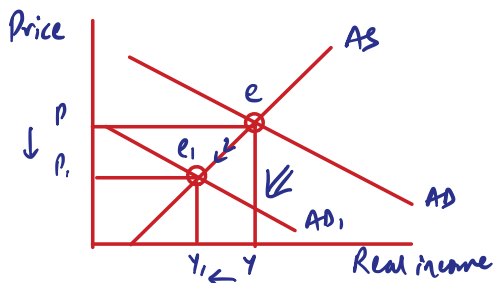
	fiscal policy	monetary policy
A	decreasing the budget surplus	increasing the interest rate
B	decreasing the budget surplus	increasing the money supply
☒ C	increasing the budget surplus	increasing the interest rate
D	increasing the budget surplus	increasing the money supply

$\Rightarrow R \uparrow, C \downarrow, I \downarrow$
BOT:- deficit,
 $AD \downarrow$

Budget, difference between government spending and tax revenue

Budget surplus increases, Tax revenue $\uparrow$ and Government spending $\downarrow$

$G \downarrow$ $AD \downarrow$



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